

Travis Central Appraisal District

2026 Real Property Residential Appraisal Valuation Manual

CONTENTS

Introduction.....	4
Property Tax System Overview.....	5
General information.....	5
Entities in the system.....	5
Property tax calendar.....	6
Appraisal of Residential Property.....	7
Mass appraisal.....	7
Highest and best use analysis.....	7
Residential data collection.....	7
Market area analysis.....	7
Land analysis.....	8
Sales ratios study.....	8
Complex properties.....	8
Market area adjustment.....	8
Residential cost approach.....	8
Residential sales comparison approach.....	8
Builder's inventory.....	9
Residential valuation goals.....	9
Steps to confirm sales.....	9
Sales with razed improvements: general sales qualification guidelines.....	10
Sale Characteristics.....	11
Condominium market area system.....	12
Profiling.....	13
Four main types of statistics in profile analysis.....	14
Sale ratio.....	14
Measure of central tendency.....	14
Measure of uniformity.....	15
Measure of bias.....	15
Price-related differential (prd).....	16
Market segmentation.....	17
Valuation reconciliation.....	19

Solar Valuation.....	20
Valuation of Mobile Homes.....	21
Addendum	22
References	22
Class Characteristics	22
Market Value.....	22
Example of market value:.....	22
Mass Appraisal vs. Single Property Appraisal.	23
Market Value Definition.....	24
Equity.....	24
Grids and Calculations.	25
Section § 23.01 (a-b).....	25
Percent of Completion.....	25
Section § 23.01 (e).	256
Single Family Residence Construction Classification.	267
Single Family Residence Condition Guidelines.....	288
Dual Axis Maximum Depreciation Matrix.....	299
High rise Condos (Unit Type 22) COST Table.....	29
Stacked Condos (Unit Type 15) Cost Table.....	29
State Codes.....	30

INTRODUCTION

The mission of the Travis Central Appraisal District is to provide accurate appraisal of all property in Travis County at one hundred percent market value, equally and uniformly, in a professional, ethical, economical and courteous manner; working to ensure that each taxpayer pays only their fair share of the property tax burden. ~~ Travis Central Appraisal District Mission Statement

The Valuation phase is the second season of the property tax calendar. The goal of this phase is to provide equal and uniform market values in Travis County. The process will involve all residential appraisers, as well as computer valuation models and programs to achieve the best possible valuation data available. The actual steps involved consist of reviewing neighborhood boundaries, establishing a market adjusted value based on cost of construction versus market data, verify records are accurate, generate grid(s) generated based on subject property characteristics, and review of the indicated values via the market adjusted and comparison grid methods.

Good data is vital to the valuation process, which is the first step in providing accurate and defensible market values from a mass appraisal perspective. The initial review process can be utilized by the area appraisers to verify market segment and subset boundaries. Consistent valuation methods should be applied with uniform base land values and similar market adjustments unless sales data dictates otherwise. Sales data in market segment and subset format should be reviewed to identify outlier sales. Including outlier sales in comp grids may lead to unreliable market adjustments and generate indicated values much higher or lower than market value.

The mission statement of the district, stated above, provides a guideline for accomplishing the task of the Valuation phase of the district's job function. The staff of the Residential Division should always bear in mind the district's mission statement in all of their duties, but most importantly within the valuation phase of the district's job function. With that in mind, the following procedures are designed to ensure that the Residential Division's staff meets the requirements outlined in the district's mission statement within the framework of the State Property Code. These procedures are guidelines and subject to appraiser judgment. Travis CAD reserves the right to deviate from these procedures when unique or individual circumstances arise which call for actions that may appear contrary to these procedures.

PROPERTY TAX SYSTEM OVERVIEW

GENERAL INFORMATION

The Texas local property tax is just that — a local tax, assessed locally, collected locally and used locally. More than 3,700 local governments in Texas — school districts, cities, counties, and various special districts collect and spend these taxes.

The local property tax is the largest single funding source for community services. State government receives no benefit from these local taxes. Your local property taxes help to pay for your public schools, city streets, county roads, police departments, fire protection and many other vital programs.

ENTITIES IN THE SYSTEM

Several types of local governments may tax property. Texas counties and local school districts tax all nonexempt property within their jurisdictions. Taxes may also be paid to a city and to special districts such as hospital, junior college, or water districts.

In Travis County, property taxes support 127 local government agencies including 21 cities, 16 emergency districts, the county, the hospital district, the junior college, 54 municipal utility districts, 1 road district, 15 school districts, and 17 water control improvement districts. These agencies are also known as taxing entities.

In addition to taxing entities, two other agencies play important roles in the property tax process: the appraisal district and the tax office. Each of these entities has a distinct role in the creation of your property tax bill:

APPRAISAL DISTRICT

- Determines Property Values
- Sends out Notices of Appraised Value
- Handles Protest
- Administers exemption and deferral application

TAX ASSESSOR COLLECTOR

- Calculates and distributes property tax bills
- Collects property tax payments
- Handles non-property tax issues including vehicle registration, license plates, voter registration, placards for people with disabilities, alcohol beverage permits, court costs

TAXING UNITS

- Sets budgets
- Determines tax rates

PROPERTY TAX CALENDAR

January 1	Date of Valuation
April 15	Notices of Appraised Values
May 15	Deadline to file a protest
July 25	Certification of appraisal roll
August/September	Tax rates set
October	Property tax bills begin to be mailed out
November	Voter approval elections are held
January 31	Property tax bill payments due

APPRAISAL OF RESIDENTIAL PROPERTY

This appraisal manual serves as a general guide to basic valuation procedures. The residential department is responsible for developing equal and uniform market values for improved residential property in Travis County. As the discovery phase concludes, appraisers will review data to group and class properties as they apply to the cost approach in conjunction with the sales approach. The district performs statistical analysis to evaluate appraisal performance. Ratio studies are conducted to measure accuracy and uniformity.

MASS APPRAISAL

The TCAD Residential Department is responsible for hundreds of thousands of residential properties each year as of January 1st. Mass appraisal is utilized to value the large volume of properties in Travis County. As defined by the Appraisal Foundation, mass appraisal is “the process of valuing a universe of properties as of a given date using standard methodology, employing common data, and allowing for statistical testing.”

HIGHEST AND BEST USE ANALYSIS

Highest and best use is defined by IAAO as “an appraisal and zoning concepts that evaluates all the possible, permissible, and profitable uses of a property to determine the use that provides the owner with the highest net return on investment in the property, consistent with existing land uses.” The highest and best use of most residential properties is its current use. Once the conclusion of highest and best use as residential is made, further analysis is done to determine type of residential use in market areas and what type of adjustments may be applied to determine market value.

RESIDENTIAL DATA COLLECTION

The residential department begins discovery procedures after July 25th or after the chief appraiser certifies the appraisal role. The residential staff consistently reviews parcels throughout the county on an annual basis to ensure records are accurate. The department collects data from the following:

- Building permits / Field inspections
- Court house records to include deeds, surveys, declarations, etc.
- Surveys
- Third-party vendors
- Internet searches
- Real Estate publications
- Aerial imagery
- Other types of reporting

Data collected from the list is recorded in the district’s CAMA database and used to provide market values each year. Please refer to field manual for workflow execution.

MARKET AREA ANALYSIS

All properties are valued based on cost, market and income information, if applicable, derived from the local market. The valuation process begins with the cost approach. Cost schedules allow all properties with similar characteristics to have comparative cost unit throughout the county. Once the classification of a property is established based on the cost schedule, the market value is established utilizing the sales within the market area. A market area is a group of properties that share common traits. Neighborhoods can and are delineated by several factors. Geographical, jurisdictional and/or physical boundaries, age or class of improvements, and construction or use type are some of the influences of a market area. Grouping properties into neighborhoods with similar characteristics allows the appraisers to confidently value properties to the median level of appraisal with equity and uniformity. An appraiser will use a combination of methods to establish a market area: mapping, on-site inspection, and market information. They identify

an area of properties that have the same characteristics. A sales ratio study is performed on these market areas, utilizing relevant sales that may be time trended per IAAO Standards. This will establish the level of appraisal of the cost schedules within the market areas. IAAO Standards dictate that it is critical not to over-stratify properties. Market areas should range from 100 to 5,000 parcels and each subset area should contain from 5,000 to 40,000 parcels.

LAND ANALYSIS

Land values are generally established using vacant land sales within the market area. The appraisers may contact builders and developers to gather sales data. When limited sales data is available, it may be necessary to utilize alternative methods such as land abstraction or land to building ratio. The abstraction method involves subtracting the depreciated replacement cost of improvements from the sale price of an improved property. The remainder is an indication of land value for the property. Land-to-building ratio is applying a portion of total property value to the site. The value is established based on land ratios developed from surrounding market areas. Once a method and value are established for the market area, the appraiser must ensure all properties in the market area are updated to reflect the new unit price, adjustments, etc. Where appropriate, land in a market area may be interpolated to smooth out the land values across large square foot ranges which can prevent large increases in land values between size tiers.

SALES RATIOS STUDY

Ratio Studies compare the Travis Central Appraisal District appraised values with estimates of market value, using sale prices of residential properties. Only verified sales meeting the definition of an arms-length transaction are included in the study. The district uses the IAAO Standard of Ratio Studies (2013) as a procedural guide. Appraisal ratios are reviewed on an ongoing basis as part of the valuation process. The department stratifies properties by groups, common characteristics, location, size, age, etc. Ratio studies are performed every year by Independent School District, improvement type, condition, year built, and land values to ensure property values are at 100% market value as required by the Texas Property Tax Code.

COMPLEX PROPERTIES

Ratio studies may result in properties disproportionately affected within quality, size, age, or location. In such cases, a highest and best use analysis is conducted to determine the appraisal method, contributory values, etc. Complex properties are typically assigned to a member of management or a specialist. Complex properties include but are not limited to: heterogenous areas, high valued homes, transitional areas, properties with unique factors.

MARKET AREA ADJUSTMENT

Market area adjustment accounts for the relevant market area forces affecting property values. A representative sample of recent homes sales from the market area are used to determine the sales price of the improvements. The total sales price, less the land value and any features, equals the sales price of the improvements. The sales prices of the improvements are used to get an average sales cost of the improvements. Total improvements sales prices are divided by the total cost estimates. The result is a Market Area Adjustment. A measure of how much a typical buyer is paying over replacement cost new less depreciation (RCNLD) to live in a given market area.

RESIDENTIAL COST APPROACH

As required by the Texas Property Tax Code, TCAD uses cost data from generally accepted sources and makes appropriate adjustments for physical, functional, and external obsolescence. The cost approach is generally used when market sales data is not available.

RESIDENTIAL SALES COMPARISON APPROACH

The market data comparison approach is generally considered the most accurate method of appraisal. This approach focuses directly on the actions of buyers and sellers in the marketplace. It usually produces the most accurate results

in determining market value. TCAD uses sales data collected from the open market from January 01, 2025, to February 28, 2026. TCAD will expand beyond January 1, 2025, when deemed appropriate. Sec. 23.013(b-1).

BUILDER'S INVENTORY

In accordance with Sec. 23.12(b), TCAD has established the following requirements:

- A minimum of 5 lots
- Same ownership
- Located within the same subdivision
- Contiguous

RESIDENTIAL VALUATION GOALS

- Clean data
- Accurate profiles
- Timely Notice
- Pass Property Value Study

STEPS TO CONFIRM SALES

Go to the "Deed & Sales" tab. Enter the Sale Type, Ratio Code, enter your initials and date under "Comment".

To determine the appropriate Sale Type code, use the following:

- Was the sale arms-length?
- Look at the buyer and seller's last name to see if the sale is between family members or to a family trust.
- If grantor/grantee was limited liability company, verify parties
<https://mycpa.cpa.state.tx.us/coa/search.do?userType=public>
- A deed type other than warranty deed may indicate a non-arms-length transaction.
- Determine if the transaction occurred on the open market. If not, "Sale Type" will be "I" for invalid sale.
- Were multiple properties sold? Check the "Deeds & Sales" tab. Review multi-property section in CAMA system. Deed information can also be found if recorded with the Travis County Clerk's Office website. You may use the reference number (minus the TR at the end) to look up the deed at:
<http://deed.co.travis.tx.us/RealEstate/SearchEntry.aspx>
- What was the source of the sale? Do we have multiple sources? Verify.
- Do the attributes of the property at the time of the sale match the attributes of the property in CAMA system? Research sales information and view photos if available. If they do not match, edit the sale characteristics to match.
 - If property needs a field check or updating in CAMA, indicate this with a field check "FC" or "IH" (In-house review). Make comments and add date and initials in the "Comments" section. See your manager for detailed instructions on setting up a field check.
- Is the property new construction? If so – do records reflect accurate characteristics? Verify all the characteristics of the new construction.
 - Check Images and add if available.
- Have the attributes of the property changed since the property sold? Verify if a new permit has been pulled or a field check indicating remodel since the sale date. This would also invalidate the sale for profile, as the current ratio does not reflect the property at time of sale. Reminder: You cannot invalidate or "unqualify" a sale based on ratio alone. If it is determined the characteristics differ between the time of sale and reappraisal date, update sale record with "VQ" (valid qualified) status code and "17" ratio code.

SALES WITH RAZED IMPROVEMENTS: GENERAL SALES QUALIFICATION GUIDELINES

When encountering a recent sale in which the improvement has been razed or is being razed; appraiser judgment should be applied when qualifying the sale to determine whether it is a valid land sale. In many cases, the original intent of the purchase was to strip down to the land. In these cases, the improvement held little or no contributory value and should be qualified as a land sale. In fewer instances, the purchaser kept the original improvement for an extended time before deciding to rebuild. In such cases, the improvement held contributory value and should be qualified accordingly. Appraiser judgement should be used to determine if it should be considered a land sale or not.

While there is not a failsafe empirical process to use when making such determinations, applying the following guidelines can help to ensure accurate and consistent determinations across the department:

- Was the razed improvement representative of the market area? (class, condition, size, architectural style, etc...) If not representative, open market data indicates this may have been a land sale.
- Public listing info (if available). Often the listing will use language such as “bring your plans/builder”, “excellent opportunity to enter the neighborhood”, “blank slate”, etc... to indicate the sale is primarily a land sale.
- Sale/permit timeline. A very short amount of time between the sale and the permits for demo and new construction can indicate the buyer intended to build a new house when making their offer.
- Sales ratio. When compared to other sales in the same market area and year, and to the existing land value, ratio can indicate whether the razed improvement held any significant contributory value.

If the sale IS determined to be a valid land sale it should be qualified as follows:

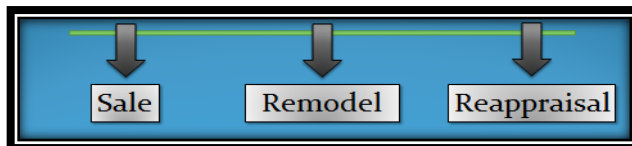
- VLQ
- Ratio Code 20

SALE CHARACTERISTICS

Part of the process of reviewing the sale of a property is reviewing the characteristics of the land and improvement. Review if the characteristics of the property at the time of the sale match the characteristics at the reappraisal date. If the characteristics match, the “frozen characteristics” section should be left as is. If they differ, slide “frozen characteristics” toggle.

Example:

If the property characteristics changed after the sale (remodel, addition, split/merge land etc...) the “frozen characteristics” toggle should be utilized.



The characteristics of the property should then be edited to be as they were at the time of the sale in the Sale Characteristics tab.

If the property sold twice in the date range that is being considered for valuation, or twice in an appraisal year and the sale is considered valid, the initial sale will be coded as VQ with a “12” ratio code and the second sale as Q in order to differentiate between the sales.

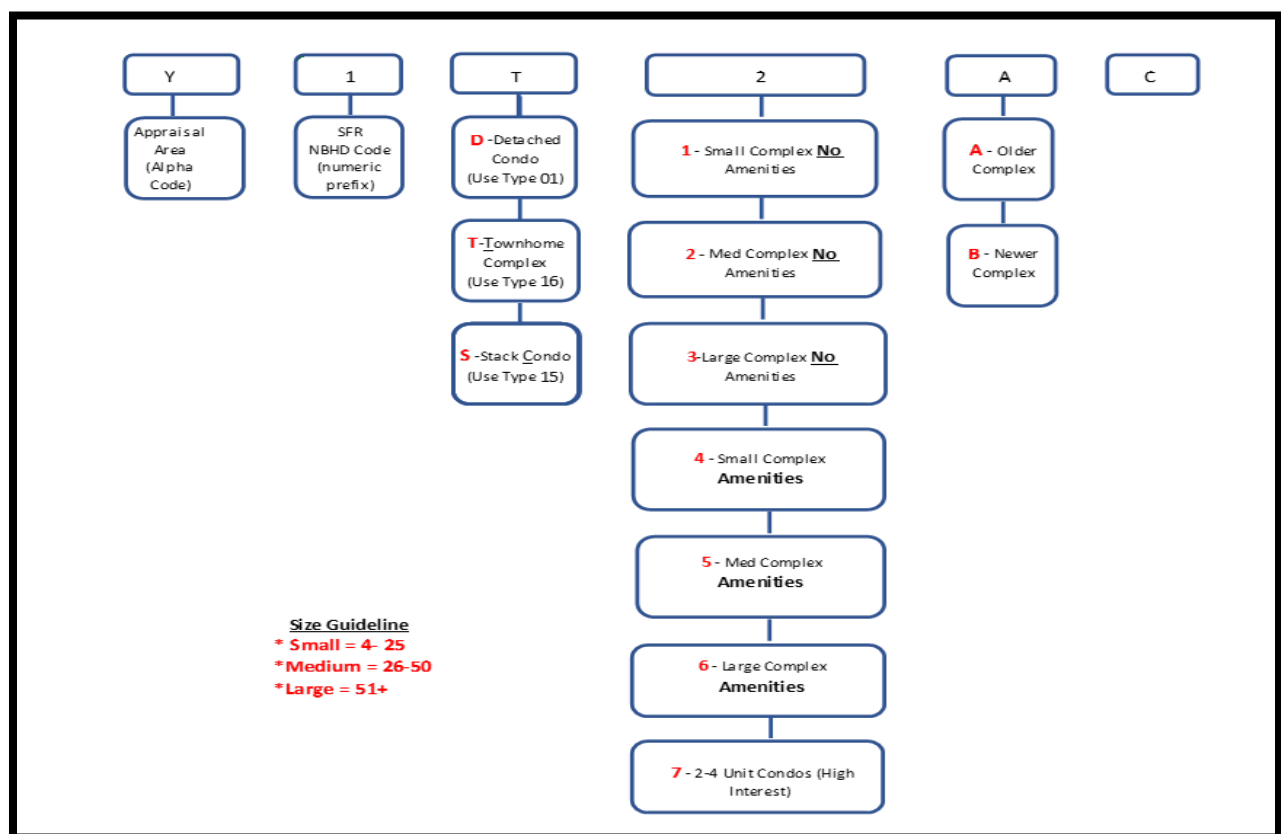
CONDOMINIUM MARKET AREA SYSTEM

All declarations should be reviewed to establish market area, improvement type, regime size, age, and amenities. Condominiums consist of the following improvement types:

- 01 Detached / Stand Alone
- 15 Stacked (less than 10 floors)
- 16 Townhomes
- 22 High-rise

Appraisers should adhere to the following condominium system worksheet:

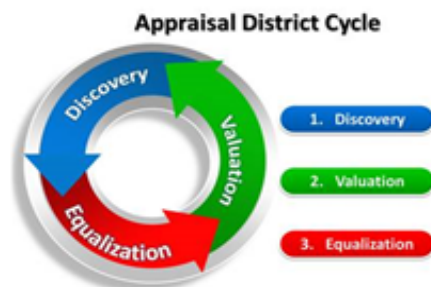
Condo and PUD Neighborhood System



PROFILING

What Is “Profiling”?

- Profiling is a process using statistical analysis of sales in a neighborhood to create the mass market adjustment used to value all properties in the neighborhood.
- It is part of the “Valuation” step in the Appraisal Process for mass appraisal.



Why do we use profiling?

- **Texas Property Tax Code** – “The market value of property shall be determined by the application of generally accepted appraisal methods and techniques.”
- **TCAD Mission Statement** – “To provide market value appraisals of all taxable property in Travis County in a fair and equitable, and cost effective manner...”
- **TCAD Mission Critical Tasks** – “Send Appraisal Notices On Time, Certify the Appraisal Roll To Taxing Entities On Time, Pass the PTAD PVS/MAPS Study”.

Accurate profiling assists with meeting all of these goals.

Anatomy of TCAD Residential Property Value

$$(RCNLD \times MMA) + \text{Land} = \text{Value}$$



FOUR MAIN TYPES OF STATISTICS IN PROFILE ANALYSIS

- Sale Ratio
- Measure of Central Tendency
- Measure of Uniformity
- Measure of Bias

SALE RATIO

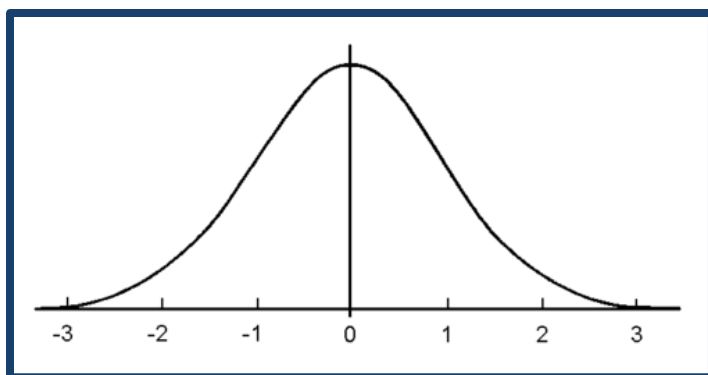
- “The ratio of an appraisal value to the sale price ... of a property” – IAAO Standard on Ratio Studies.
- Use – Determine accuracy of the valuation model.

Appraised Value ÷ Sales Price = Sales Ratio

The ideal ratio is 100%. The acceptable range for ratios in a profile varies.

MEASURE OF CENTRAL TENDENCY

- Mean – Average
- Median – Value in the precise middle of the value range
- Weighted Mean – Ratio of the sum of the appraised values divided by the sum of the sales prices.
- Use: To determine a benchmark value for the sample.



MEASURE OF UNIFORMITY

- Coefficient of Dispersion (C of D) – measures the consistency of assessment levels.
- Lower C of D = More Uniformity
- Use: To determine the likeliness that properties are equally treated.

Table 1-3. Ratio Study Uniformity Standards indicating acceptable general quality*

Type of property—General	Type of property—Specific	COD Range**
Single-family residential (including residential condominiums)	Newer or more homogeneous areas	5.0 to 10.0
Single-family residential	Older or more heterogeneous areas	5.0 to 15.0
Other residential	Rural, seasonal, recreational, manufactured housing, 2–4 unit family housing	5.0 to 20.0
Income-producing properties	Larger areas represented by large samples	5.0 to 15.0
Income-producing properties	Smaller areas represented by smaller samples	5.0 to 20.0
Vacant land		5.0 to 25.0
Other real and personal property		Varies with local conditions

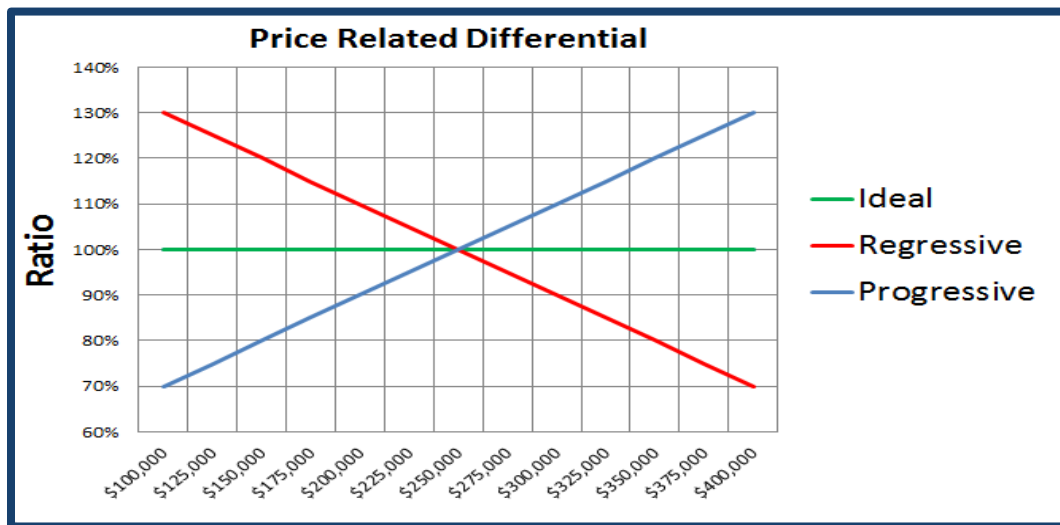
Source-IAAO Standard on Ratio Studies

MEASURE OF BIAS

- Price Related Differential (AKA “Related Diff”)– Measures regressively or progressivity of the ratios in the sample.
- A PRD greater than 1.0 indicates that high-value properties are under-appraised (regressive).
- A PRD less than 1.0 indicates that low-value properties are under-appraised (progressive).
- Use: To determine if properties throughout the sample are valued equitably.

PRICE-RELATED DIFFERENTIAL (PRD)

- Ideal is 1.0
- Acceptable Range is .98-1.03



CAUTION

Statistical analysis for profiling is a science and an art. Be cautious to make sure that the numerical output of the profiles “makes sense”.

Workflow

1. Review Profile Statistics
2. Review for possible Market Segmentation
3. Compare prior year and recommended MMA (“smell test”)
4. Review recommended MMA and Avg Land/Sale ratio to determine if adjustments are needed to land values
5. Calculate new MMA
6. Lock Profile (Managers)

If you have a small market area which does not lend itself to consolidation, the appraiser may profile with fewer sales but must add comments including reference to most comparable neighborhoods the appraiser considered when changing the MMA or land value or the compelling evidence to make the change. There are always circumstances where the appraiser believes a change is necessary. These changes must be approved by the Managers. Appraisers will be held accountable for making changes to the unit price on land that has not been approved of by management; this does not include making changes to the characteristics or land adjustments.

After profiles are run, market and equity grids should be created and reviewed for accuracy.

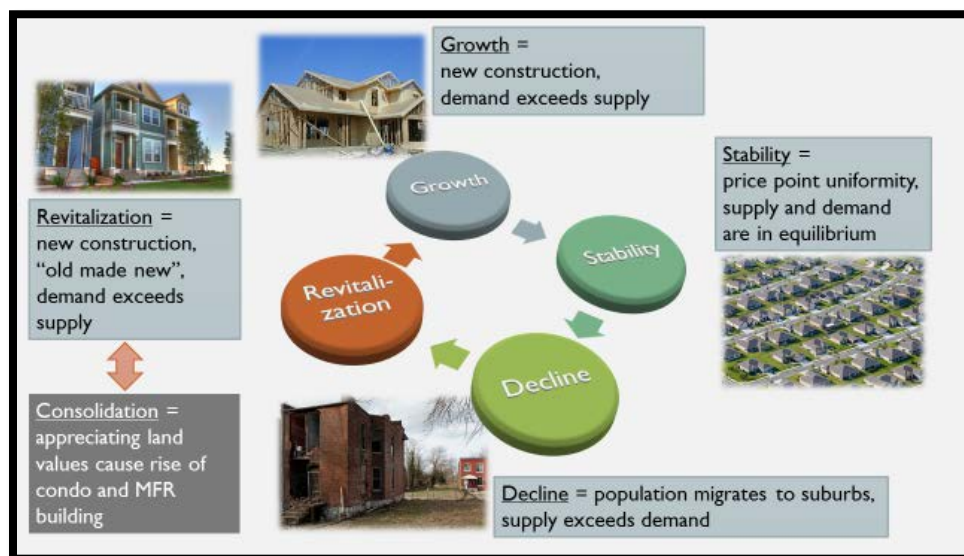
MARKET SEGMENTATION

The act of distinguishing or delineating the universe of properties the appraiser should consider or distinguish between in their data analysis. When appraising a typical single-family residence, the market segmentation process may relate only to identifying the specific neighborhood in which the property is located, along with comparable land and improved sales.

Is there a market contributing characteristic, or set of characteristics, indicating typical buyers are paying a greater premium for one house over another? Is there a market within a market?

Possible examples of market segmenting characteristics

- New vs. Old
- Remodeled vs. Original
- Typically found in market areas in transition
- Must be identified not by SALES PRICE, but by APPRAISAL RATIO.
- How much over RCNLD are typical buyers paying?
- Having homes, side by side, that are at different points within a NHBD life cycle can be a primary indicator of market fragmentation.



The appraiser must analyze sales ratios to recognize patterns within property characteristics. In the examples below, Market Area A indicates segmenting by remodeled properties, while Market Area B does not.

STATISTICAL EVIDENCE OF MARKET SEGMENTATION			
Market Area Analysis: Sorted by Appraisal Ratio (appraised value/sale price)			
Market Area "A"		Market Area "B"	
Segmentation		No Segmentation	
REM	82.75%	REM	93.01%
REM	82.92%	Ori	94.09%
REM	83.32%	Ori	94.75%
REM	83.49%	REM	96.73%
REM	84.21%	Ori	99.15%
REM	100.09%	REM	100.15%
Ori	100.20%	REM	100.19%
Ori	100.50%	Ori	101.25%
Ori	101.01%	REM	101.75%
Ori	101.15%	REM	102.11%

Median
Level
of Appraisal

REM = remodeled
Ori = original

VALUATION RECONCILIATION

As part of reconciliation, appraisers must utilize the CAMA system along with other available in-house reports to review characteristics of both sold and non-sold properties. An appraiser should reach out to management for any questions or additional assistance.

Review items include but are not limited to:

- Suggested mass market adjustment
- Ratios (bad ratios for potential outliers)
- Improvement Values
- Land Values
- Adjustments
- Class / Condition



SOLAR VALUATION



Residential Solar Photovoltaic (PV) Systems: Valuation Study 2015

Pursuant to Texas Property Tax Code Section 11.27 and with guidance from the Texas Comptroller of Public Accounts, a study was performed in order to determine a fair and equitable method for the valuation of solar PV systems in Travis County. A lack of adequate sample size rendered conventional local value comparisons, such as paired sales or NBHD sales analysis, largely ineffective and produced results that were too inconclusive and inconsistent to provide valid conclusions. With sample size a limiting factor locally, national PV system value studies were used as a guide to valuation. A review of national comparison analysis indicated that the net cost approach is the most accurate PV system valuation method. One recent prominent study: "Selling Into the Sun: Price Premium Analysis of a Multi-State Dataset of Solar Homes" (see link below), co-authored by Lawrence Berkeley National Laboratory and the U.S. Department of Energy, provided relevant data analysis that was applicable to a national market and featured contributory analysis from Real Property Analytics in College Station, TX. The study concluded that PV systems add value to houses in markets nationwide and that, while the cost differs between markets, premiums for the presence of PV systems are "not statistically different in any period from the net cost estimates". The study also notes that "the net cost estimates—which account for the federal, state, and local incentives available at the time of sale—seem reasonably related to the value added (PV premiums) at least among average PV systems". Additional research performed by SunUp Solar, through the Sandia Labs Department of Energy Valuation program, found that "the initial re-sale value of a solar energy system is usually about the same as the cost of the system". The use of the net cost method is further validated by local marketing practices. Many local installers of solar PV systems use the appeal of local and federal incentive programs to market the sale and installation of the systems.

A valuation method for the local contributory value of residential solar PV systems was developed using the net "out of pocket" cost to the local PV system purchaser based on data provided by Austin Energy and Energystar via their websites. Austin Energy estimates that installed solar (PV) systems cost \$2,250 - \$4,450 per kilowatt (kW). A rebate of \$1.10 per watt (\$1,100 per kW) is currently being offered by Austin Energy. A federal tax credit for the post-rebate cost was also noted. Per www.energystar.gov, a tax credit of "30% or cost with no upper limit" is available towards the cost of installing a PV system. Using this information, the following \$/kW value was calculated for 01/01/2015:

\$3350 median gross cost per kW of installed PV systems (Austin Energy)
- \$1100 Austin Energy Rebate per kW
<u>- \$675 Federal Tax Credit per kW (30% of the remaining cost per/kW)</u>
\$1575 net cost per kW.

Selling Into the Sun (link):

<http://emp.lbl.gov/sites/all/files/selling-into-the-sun-jan12.pdf>

VALUATION OF MOBILE HOMES

Mobile homes are valued based on the purchase price of the property, cost tables and/or the NADA Valuation Guide for Manufactured Homes. Along with the dimensions of the mobile home (without the tongue), the HUD label (located at the left rear of the mobile home) and the estimated year of construction and the color is noted. The appraiser also notates the make and/or model of the mobile home if available.

ADDENDUM

REFERENCES

CLASS CHARACTERISTICS

Appraised values have been developed through field work, data collection, sales confirmation and application of mass appraisal techniques by licensed appraisers. As a matter of practice, changes to a property's characteristics are not made without reliable evidence. Appraisers have a professional responsibility to produce value conclusions that, on an overall basis, meet attainable standards of accuracy.

The quality of construction variable takes into account many factors, and the numerical code used to represent this variable does not indicate a linear value adjustment. Adjacent properties may display different class codes; there may be several levels of quality present in a given neighborhood.

If sufficient photo evidence is not presented for an appraiser to warrant a class code change, then a field check must be scheduled for an appraiser to evaluate the current characteristics of the improvements, both interior and exterior.

MARKET VALUE.

Mass appraisal relies on valuation schedules and models to apply valuation that ensures uniformity, equity, and reliability.

Market value should not be confused with the *sales price* of real property.

- The sales price is a result of bargaining.
- It is NOT an absolute indication of market value.
- It is *one* of a few tools used by appraiser to determine market value.

The Market Comparison Approach used by the district is based on the *Principle of Substitution*. The indicated value of any subject property equals the cash sales prices of similar properties that have sold recently and are in close proximity to the subject property, plus/minus adjustments for dissimilar characteristics.

EXAMPLE OF MARKET VALUE:

Five Similar Properties:



JONES
SOLD!
\$270,000

SMITH
SOLD!
\$250,000

BAKER
NO SALE

HANSON
NO SALE

GARCIA
SOLD!
\$260,000

MARKET VALUE of each parcel - \$260,000

2024 Notices of Appraised Value are issued:

Jones	Smith	Baker	Hanson	Garcia
\$260,000	\$260,000	\$260,000	\$260,000	\$260,000
Smith protests his 2022 noticed value. The appraiser changes his value to \$250,000 per the settlement statement.				
Now the 2021 values are:				
Jones	Smith	Baker	Hanson	Garcia
\$260,000	\$250,000	\$260,000	\$260,000	\$260,000

MASS APPRAISAL VS. SINGLE PROPERTY APPRAISAL.

PROCESS	MASS APPRAISAL	SINGLE PROPERTY APPRAISAL
Definition	The process of valuing a universe of properties as of a given date using standard methodology, employing common data, and allowing for statistical testing.	The act or process of developing an opinion of value of property one at a time.
Appraiser Qualifications	Governed by Uniform Standards of Professional Appraisal Practice, Standard No. 5, 6	Governed by Uniform Standards of Professional Appraisal Practice, Standard No. 1, 2
Purpose	To determine the assessment base for property taxation in accordance with legislative requirements.	The client specifies the nature of the value to be estimated, including: rights to be valued, effective date of valuation, and any limiting conditions.
Data Collection	Mass appraisal requires a continuing program to maintain a current database of property attributes and market information. A specific sales data collection period of 12 or more months is used.	The extent of data collection is specific to each assignment and depends on the nature of the client's requirements.
Market Analysis	Utilizes a study of sales ratios to determine the level of market adjustment.	Market adjustment is not quantified.
Valuation Model Specification and Calibration	Valuation procedures are predicated on groups of comparable properties. Only valid, qualified sales are used in the analysis.	The subject property is the central focus of the valuation procedures. The analysis of comparable properties is restricted to a few properties – generally three. Some lender clients require at least one active/pending listing be included as comparables.
Validation	The testing of acceptable analysis and objective criteria is performed by the State Comptroller.	The reliability of the value opinion is more subjective. Acceptability can be judged by the depth of research and analysis of comparable sales. ¹

¹ Uniform Standards of Professional Appraisal Practice, 2008-2009 Edition; The City of Edmonton; Assessment Brief, The International Association of Assessing Officers, Property Appraisal and Assessment Administration, Chicago, Illinois 1990

Market Value Definition.

"The most probable price at which a property would trade in an arms-length transaction in a competitive and open market, in which the buyer and seller each act prudently and knowledgeably and in which the price is not affected by any special relationship between them".

Section § 1.04

“Market value” means the price at which a property would transfer for cash or its equivalent under prevailing market conditions if:

- (A) exposed for sale in the open market with a reasonable time for the seller to find a purchaser;
- (B) both the seller and the purchaser know of all the uses and purposes to which the property is adapted and for which it is capable of being used and of the enforceable restrictions on its use; and
- (C) both the seller and purchaser seek to maximize their gains and neither is in a position to take advantage of the exigencies of the other.

EQUITY.

It is imperative that for the tax system to work effectively and properly (as designed), the ARB must act as an impartial juror in the process by not presenting or eliciting testimony.

This is why ex-parte communication has become such a big issue. The ARB must not be influenced by anything other than the testimony of the taxpayer and the TCAD appraiser inside the structure of the recorded hearing. It is the ARB's job to listen to the evidence and rule on the value based on the preponderance of the evidence.

We can't forget about the taxpayers who do not protest. They are not being treated fairly when someone who protests market value gets an unexpected chance of a lower value from an avenue they didn't even choose to protest.

If the equity grids worked perfectly, we would be able to put a CBD office tower in a grid with a single family tract home and it would adjust back to the noticed value. The equity grid is a 'non-model test'. If equity grid shows a great difference from the subject, it indicates that **either** the values were not sent out via the same cost schedules **or** the values have been overridden by informal or ARB decisions without changing the characteristics of the property.

GRIDS AND CALCULATIONS.

According to ARB rules, the panel is not allowed to develop calculations or create appraisals during a hearing. The direction of the panel is to determine whether the appraisal district has acted properly in determining the value of the property.

From the ARB Manual:

“The ARB cannot develop its own valuation or consider matters not presented to it as evidence at the hearing. The ARB cannot testify for either party, **develop its own calculations**, create appraisals or develop theories not part of the hearing record.”

A request by the board to “create a grid” is, in effect, creating an appraisal.

SECTION § 23.01.

(a) Except as otherwise provided by this chapter, all taxable property is appraised at its market value as of January 1.

(b) The market value of property shall be determined by the application of generally accepted appraisal methods and techniques. If the appraisal district determines the appraised value of a property using mass appraisal standards, the mass appraisal standards must comply with the Uniform Standards of Professional Appraisal Practice. The same or similar appraisal methods and techniques shall be used in appraising the same or similar kinds of property. However, each property shall be appraised based upon the individual characteristics that affect the property’s market value, and all available evidence that is specific to the value of the property shall be taken into account in determining the property’s market value.

PERCENT OF COMPLETION.

Percent of Completion:	% each phase	Cumulative %
1. Plans, permits and survey	2	2
2. Excavation, forms, water/sewer hookup	4	6
3. Rough-in plumbing	4	10
4. Concrete slab or foundation	8	18
5. Rough framing	21	39
6. Windows and exterior doors	2	41
7. Roof cover	3	44
8. Rough-in electrical and mechanical	11	55
9. Insulation	1	56
10. Exterior cover	6	62
11. Interior drywall and ceiling finish	8	70
12. Cabinets, interior doors, trim, etc	13	83
13. Plumbing fixtures	5	88
14. Painting and decorating	4	92
15. Built-in appliances	3	95
16. Floor coverings	3	98
17. Light fixtures and finish hardware	2	100

Clear and Convincing Evidence 23.01(e)

“(e) Notwithstanding any provision of this subchapter to the contrary, if the appraised value of property in a tax year is lowered under Subtitle F, the appraised value of the property as finally determined under that subtitle is considered to be the appraised value of the property for that tax year. In the next tax year in which the property is appraised, the chief appraiser may not increase the appraised value of the property unless the increase by the chief appraiser is reasonably supported by clear and convincing evidence when all of the reliable and probative evidence in the record is considered as a whole. If the appraised value is finally determined in a protest under Section 41.41(a)(2) or an appeal under Section 42.26, the chief appraiser may satisfy the requirement to reasonably support by clear and convincing evidence an increase in the appraised value of the property in the next tax year in which the property is appraised by presenting evidence showing that the inequality in the appraisal of property has been corrected with regard to the properties that were considered in determining the value of the subject property. The burden of proof is on the chief appraiser to support an increase in the appraised value of property under the circumstances described by this subsection.”

In accordance with the Texas Property Tax Code, TCAD will increase residential values, which were previously lowered under Subtitle F, only if there is reasonably supported clear and convincing evidence to do so. Clear and convincing evidence includes but is not limited to the following: characteristic changes to the improvements on the property, change in the use of the property, changes to the features of the property, a sale of the property, or a ratio study performed using a representative sample of sales relating to the property.

SINGLE FAMILY RESIDENCE CONSTRUCTION CLASSIFICATION.**CLASSES:**

R1: Dwellings with this rating are usually unique structures featuring a high level of workmanship and high-grade materials throughout the interior and exterior of the structure. The design features exceptionally high-quality refinements and ornamentation. The workmanship, materials, and finishes throughout are of exceptionally high quality.

R2: Dwellings with this rating are often custom designed for construction on property owner's site. Dwellings in this rating can also be found in high-quality tract developments featuring residences constructed from individual plans or highly modified plans. The design features detailed, high-quality interior refinements, exterior ornamentation and detail. The workmanship, materials, and finishes throughout are typically of high quality.

R3: Dwellings with this rating are of higher quality built from available builder plans in above standard residential tract developments. The design includes significant well finished interiors and significant exterior ornamentation. The workmanship exceeds acceptable standards. Materials and finishes have been upgraded from "stock" standards.

R4: Dwellings with this rating meet or exceed building requirements. Standard or modified building plans are utilized with some exterior ornamentation and interior refinements. Construction materials and finishes are generally of builder grade and may feature upgrades.

R5: Dwellings with this rating feature basic economic construction materials and functionality. Dwellings typically feature a basic design and floor plan with minimal finishes, exterior ornamentation, and limited interior detail. They meet minimum building codes and are constructed with stock material with limited or no upgrades.

R6: Dwellings with this rating are of basic and lower cost; some may not be suitable for occupancy. Dwellings are often built with simple plans (or without), using the lowest building materials. The dwellings are often substandard or non-conforming with minimal electrical, plumbing, and other mechanical systems and equipment.

SINGLE FAMILY RESIDENCE CONDITION GUIDELINES.

- a. Salvage (S) 20% good- The structure is uninhabitable. There is no utility remaining in the improvement value, its only value lies in the combined scrap value of its components. S Cond should not be applied to improvements with a homestead exemption.
- b. Poor (P) 40% good – All major short-lived and at least some long-lived components are badly worn and in need of repair/reconstruction. Both the short and long-lived components are curable.
- c. Fair (F) Avg -10% good – Long lived components are in functional condition but many short-lived curable components are in need of repair. Short-lived components are curable and thus would add market value if repaired.
- d. Average (A) % good dependent upon class – The improvements are well maintained and feature limited physical depreciation due to normal wear and tear. Some short-lived components, but not every major building component, may be updated or recently rehabilitated. The long-lived components are in good functioning order. Short-lived items are currently incurable as the cost to repair/rebuild them would exceed the market value added to the property.
- e. Good (G) % good dependent upon class – A cosmetic update. Most short-lived curable components have been replaced. The long-lived components are in good functioning order. Minor changes to the improvement footprint may have occurred. These updates would add market value to the subject property.
- f. Excellent (E) % good dependent upon class – Virtually all building components are new or have been recently repaired, refurbished or rehabilitated which may include a “strip to the studs” remodel. The interior floorplan or improvement footprint may have changed. These updates would add significant market value to the subject property.
- g. New AYOC/EYOC – Improvement has been razed to the foundation and rebuilt. It is effectively a new house, or the changes to the improvement meet the “scoring” requirement in the Residential Procedure Manual. Set AYOC & EYOC to current year.

DUAL AXIS MAXIMUM DEPRECIATION MATRIX.

Depreciation is linked to a property's class. Stated below:

		CLASS CODE					
CONDITON CODE		R6	R5	R4	R3	R2	R1
	E	90	90	90	90	95	95
	G	80	80	80	80	90	90
	A	70	70	70	70	80	80
	F	60	60	60	60	70	70
	P	40	40	40	40	40	40
	S	20	20	20	20	20	20

HIGH RISE CONDOS (UNIT TYPE 22) COST TABLE.

TCAD Base Unit Costs - Use Type 22 Unit Cost Matrix

	A	B	C	D
G	342.32	297.56	226.03	215.95
A	274.56	239.58	208.08	174.36
*X-Axis = Class, *Y-Axis - Quality				

STACKED CONDOS (UNIT TYPE 15) COST TABLE.

The classification of stacked condominiums were updated to the R1-R6, XX model (similar to SFR).

STATE CODES.

A1	SINGLE FAMILY RESIDENCE
A2	SINGLE FAMILY RESIDEN (MH)
A3	SINGLE FAMILY RES (DETAILS)
A4	CONDOS
A5	CONDOS (DETAILS)
B1	MULTIFAMILY
B2	DUPLEX
B3	TRI-PLEX
B4	FOUR-PLEX
B5	MUTIFAMILY WITH HS
C1	VACANT LOT
C2	VACANT LAND/MISC DETAILS
D1	ACREAGE (AG) 1-D-1
D2	ACREAGE (NON-AG)
D3	AG 1-D
E1	FARM AND RANCH IMPR
E2	FARM AND RANCH IMPR (MH)
E3	FARM AND RANCH IMPR (MISC)
F1	COMMERCIAL IMPROVED
F2	INDUSTRIAL
F3	COMMERCIAL (DETAILS)
F4	COMMERCIAL (CONDO)
F5	COMMERCIAL (RES CONVERSION)
G1	OIL AND GAS
G2	MINERALS
G3	SUB-SURFACE MINES AND QUARRIES
J1	UTILITY (WATER)
J2	UTILITY (GAS)
J3	UTILITY (ELECTRIC)
J4	UTILITY (TELEPHONE)
J5	UTILITY (RAILROADS)
J6	UTILITY (PIPELINES)
J7	UTILITY (CABLE)
J8	UTILITY (OTHER)
J9	UTILITY (NOT CODED)
L1	COMMERCIAL PP
L2	INDUSTRIAL PP
M1	TANGIBLE PERSONAL PROP (MH)
N1	INTANGIBLE PP
M2	COMMERCIAL BOAT
N2	RR ROLLING STOCK
O1	RESIDENTIAL INVENTORY
S1	SPECIAL INVENTORY
X	TOTALLY EXEMPT PROPERTY